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Politicizing Consumer Credit

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1 Big picture

- **Question.** Do powerful politicians weaken firms' incentives to comply with existing regulation, even without formally changing the law? The paper studies this question in U.S. consumer credit markets, where fair-lending rules protect minority and low-income communities.
- **Setting.** The paper studies U.S. Senate committee chair ascensions from 1999 to 2012 and connects these political-power shocks to consumer credit outcomes. The key credit data are the FRBNY Consumer Credit Panel/Equifax, HMDA mortgage application data, Call Reports, CRA exam data, and political contribution data.
- **Core mechanism.** Banks may expect regulatory protection when their home-state Senator becomes more powerful. If banks expect regulators to be less aggressive, they may reduce costly compliance with fair-lending rules and curtail lending to protected borrowers.
- **Core empirical challenge.** A fall in credit to disadvantaged borrowers could reflect lower credit demand, worse local economic conditions, changing borrower quality, or a shift in banks' investment opportunities. The paper must separate a **political protection / reduced compliance** channel from these alternatives.
- **Main identification idea.** Senate committee chairs are selected largely by seniority rules. Chair turnover therefore creates plausibly exogenous shocks to a state's political power, because the identity of the next chair is determined by committee tenure accumulated over many years rather than by current local credit-market conditions.
- **Main empirical question.** When a state's Senator becomes a powerful committee chair, do banks reduce access to credit for minority and CRA-protected neighborhoods in that Senator's state?
- **Main empirical results.**
  - Credit access falls after a home-state Senator becomes a committee chair.
  - The reduction is concentrated among subprime borrowers, majority-minority Census tracts, and CRA-eligible low-to-moderate-income neighborhoods.
  - In the baseline Equifax data, majority-white tracts experience about a 3.3 percentage-point decline in credit access, while majority-minority tracts experience roughly a 6.0 percentage-point decline. Relative to the sample mean of about 0.46, the minority-tract effect is about 13%.
  - HMDA mortgage application data confirm that approval rates fall for minority neighborhoods and minority applicants.
  - The reduction comes from banks headquartered in the newly powerful Senator's state, not from unrelated out-of-state banks.
  - Effects are larger where banks have political connections, where borrowers are less politically engaged, and when the Senator serves on committees overseeing fair-lending enforcement agencies.
  - Banks' CRA exam ratings decline and bank profitability modestly rises after the political-power shock.

- **Economic takeaway.** Political power can affect financial markets not only through legislation or direct subsidies, but also through expected regulatory enforcement. The paper's central lesson is that banks appear to reduce regulatory compliance when they expect political protection.

2 Data and measurement (key objects)

2.1 Political-power shocks

- **Shock.** The treatment is a U.S. Senator's ascension to the chair of a Senate committee.
- **Why committee chairs matter.** Committee chairs set agendas, call hearings, influence legislation, and can exert soft pressure on regulatory agencies.
- **Why ascensions are useful.** Senate committee chairmanships are mainly determined by seniority. Thus, when a chair leaves office, changes committees, or has health problems, the next chair is often determined by historical committee tenure rather than by current economic conditions.
- **Main shock sample.** The paper identifies 38 chair ascension shocks between 1999 and 2012.
- **Treatment window.** A state is treated for the two years after a home-state Senator becomes a committee chair. Years three through six after an ascension are removed so that treated states do not reenter the control group while the chair may still be powerful.

Interpretation. The treatment captures an increase in a state's political protection capacity. The key point is not that the Senator explicitly tells regulators to back off; rather, banks may expect that the Senator could intervene if regulators punish them.

2.2 Consumer credit data: FRBNY CCP/Equifax

- **Main data set.** The FRBNY Consumer Credit Panel/Equifax is a longitudinal panel based on a 5% random sample of individuals with Social Security numbers and credit reports.
- **Sample period.** The credit panel starts in 1999Q1 and the paper's sample ends in 2012Q4.
- **Main sample.** The baseline Equifax tests use consumers with an Equifax Risk Score below or equal to 640, which roughly separates subprime from prime borrowers.
- **Why subprime borrowers.** Lenders have more discretion over marginal or subprime applications. This is exactly where fair-lending enforcement is most relevant and where political protection should matter most.
- **Main outcome.** Credit access is measured by the supply ratio:

$$\text{SupplyRatio}_{igt} = \frac{\#\text{ new credit lines}_{igt}}{\#\text{ hard credit inquiries}_{igt}}.$$

  Here, i indexes consumers, g indexes geography, and t indexes year-quarter.

- **Baseline sample size.** The main Equifax sample has about 890,271 consumer-quarter observations.

Interpretation. A hard inquiry indicates that a consumer sought credit. A new credit line indicates that the consumer actually obtained credit. The ratio is therefore a credit-supply proxy: lower values mean consumers apply but receive fewer new credit lines.

2.3 Protected communities and fair-lending objects

- **Majority-minority Census tracts.** A tract is majority-minority if at least 50% of its residents are nonwhite.
- **CRA eligibility.** The Community Reinvestment Act encourages banks to supply credit in low-to-moderate-income tracts. A tract is CRA eligible if its median family income is below 80% of the MSA median:

$$\text{CRAEligible}_g = \mathbf{1}\left\{\frac{\text{TractIncome}_g}{\text{MSAIncome}_{m(g)}} < 0.8\right\}.$$

- **Why these groups matter.** Fair-lending laws such as the Equal Credit Opportunity Act and the CRA are designed to protect historically disadvantaged borrowers and communities. If political protection weakens enforcement, these groups should be most affected.

2.4 Mortgage application data: HMDA

- **Purpose.** HMDA data are used to validate the Equifax supply-ratio evidence with direct mortgage application outcomes.
- **Outcome.** The HMDA outcome is whether a mortgage application is approved.
- **Sample.** The paper uses a 5% random sample of HMDA applications, restricted to owner-occupied home purchases or refinances, and to applications that are either approved or denied.
- **Applicant-location sample.** The main HMDA sample contains roughly 7.7 million applications.
- **Bank-headquarters sample.** Using a concordance to lender headquarters, the paper links roughly 3.8 million applications to banks' headquarters states.

Interpretation. HMDA directly observes approval and denial decisions, so it addresses the concern that the Equifax supply ratio mixes denials with approved loans that were not taken up by borrowers.

2.5 Political contribution data and bank connections

- **Household contributions.** ZIP-code-level individual campaign contributions are used to measure local political engagement.
- **Bank PAC contributions.** Bank political action committee contributions to Senators are used to measure bank-Senator political connections.
- **Connected bank.** A bank is treated as politically connected if its PAC contributed to the Senator before the Senator became committee chair.
- **County connectedness.** The paper measures local bank political connectedness as the share of bank branches in a county whose parent banks are politically connected.

Interpretation. If political protection is the mechanism, effects should be larger for banks that have already built relationships with the newly powerful Senator.

2.6 Bank data and CRA exams

- **Bank performance.** The paper uses Call Reports to measure bank balance sheets, loan categories, and return on assets.
- **Bank branch locations.** FDIC Summary of Deposits data locate bank branches and identify the states in which banks operate.
- **CRA exams.** CRA exam data from FFIEC report whether banks receive ratings of outstanding, satisfactory, needs to improve, or substantial noncompliance.
- **Regulators.** CRA exams are conducted by the Federal Reserve, FDIC, OCC, and OTS.

Interpretation. If banks reduce CRA compliance after gaining political protection, their CRA exam scores should worsen, and their loan portfolios may become more profitable because they reduce less-profitable mandated lending.

2.7 Timing and unobservables

- **Treatment timing.** The shock is dated to the Senator's ascension to committee chair, and the treatment window lasts two years.
- **Key unobservables.** Borrower risk, local credit demand, local economic conditions, bank investment opportunities, and state-level political trends may all affect credit access.
- **Main controls.** The paper uses Census tract fixed effects, year-quarter fixed effects, risk-score-bin fixed effects, county-by-quarter fixed effects, consumer fixed effects, lender fixed effects, lender-by-year fixed effects, and other flexible controls depending on the test.

Interpretation. The design is a difference-in-differences framework with rich fixed effects. The goal is to compare changes in treated states after an ascension to changes in otherwise unaffected states, while absorbing persistent local differences and common time shocks.

3 Models and empirical specifications (all equations + interpretation)

3.1 Outcome: credit access

The main credit-access measure is

$$\text{SupplyRatio}_{igt} = \frac{\#\text{ new credit lines}_{igt}}{\#\text{ hard credit inquiries}_{igt}}.$$

Interpretation. This is a borrower-quarter measure of how much credit a consumer obtains conditional on seeking credit. A lower supply ratio means tighter credit access, especially when the number of inquiries does not increase.

3.2 Treatment: powerful politician

Define

$$\text{Powerful}_{st} = \mathbf{1}\{\text{state } s \text{ has a Senator who became committee chair in the previous two years}\}.$$

Interpretation. Powerful_{st} captures the presence of a newly powerful home-state Senator. The paper treats this as an increase in expected political protection for banks and other constituents in that state.

3.3 Baseline difference-in-differences specification

The paper's basic specification is

$$\text{SupplyRatio}_{igt} = \beta \text{Powerful}_{st} + \Gamma' X_{igt} + \alpha_t + \alpha_g + \varepsilon_{igt}.$$

- i: consumer
- g: geography, usually Census tract
- s: state containing geography g
- t: year-quarter
- X_{igt}: borrower and local controls
- α_t: time fixed effects
- α_g: geography fixed effects

Interpretation. The coefficient β compares credit access in states with new committee chairs to credit access in other states, after absorbing national credit cycles and permanent tract-level differences.

3.4 Preferred protected-borrower specification

Because fair-lending rules protect historically disadvantaged communities, the preferred specification interacts political power with a majority-minority tract indicator:

$$\text{SupplyRatio}_{igt} = \beta_1 \text{Powerful}_{st} + \beta_2 \left(\text{Powerful}_{st} \times \text{MajorityMinority}_g\right) + \Gamma' X_{igt} + \alpha_t + \alpha_g + \varepsilon_{igt}.$$

- $\text{MajorityMinority}_g = 1$ if tract g is majority-minority.
- β_1 measures the effect in non-majority-minority tracts.
- β_2 measures the additional effect in majority-minority tracts.
- $\beta_1 + \beta_2$ is the total effect in majority-minority tracts.

Interpretation. The political-protection hypothesis predicts $\beta_2 < 0$. If banks reduce compliance with fair-lending rules, the credit contraction should be stronger in protected minority neighborhoods.

3.5 Flexible controls and fixed effects

The paper estimates variants of the preferred specification with additional controls:

$$\begin{aligned}\text{SupplyRatio}_{igt} = {} & \beta_1 \text{Powerful}_{st} + \beta_2(\text{Powerful}_{st} \times \text{MajorityMinority}_g) + \alpha_g + \alpha_t + \alpha_{c(g)t} + \alpha_i + \alpha_{r(i,t)} \\ & + \alpha_{r(i,t)} \times \text{Powerful}_{st} + \varepsilon_{igt}.\end{aligned}$$

- $\alpha_{c(g)t}$: county-by-quarter fixed effects.
- α_i: consumer fixed effects.
- $\alpha_{r(i,t)}$: fixed effects for 10-unit Equifax Risk Score bins.
- $\alpha_{r(i,t)} \times \text{Powerful}_{st}$: flexible controls for time-varying borrower creditworthiness within treated states.

Interpretation. These controls address the concern that treated states have weaker borrowers, weaker local economies, or different credit-score dynamics after a Senator becomes powerful.

3.6 Event-study / distributed-lag specification

The event-study version replaces Powerful_{st} with indicators for years around the ascension:

$$\text{SupplyRatio}_{igt} = \sum_{k \neq -1} \beta_k D^k_{st} + \sum_{k \neq -1} \theta_k (D^k_{st} \times \text{MajorityMinority}_g) + \Gamma' X_{igt} + \alpha_t + \alpha_g + \varepsilon_{igt}.$$

Interpretation. The pre-treatment β_k and θ_k coefficients test for differential pre-trends. The paper finds no meaningful pre-trend before ascension and a sharp post-ascension decline, especially in minority and CRA-eligible tracts.

3.7 HMDA approval-rate specification

Using mortgage applications, the paper estimates analogous regressions:

$$\begin{aligned}\text{Approval}_{agbt} = {} & \beta_1 \text{Powerful}_{st} + \beta_2(\text{Powerful}_{st} \times \text{MajorityMinority}_g) + \Gamma' X_{agbt} \\ & + \alpha_g + \alpha_t + \alpha_b + \alpha_{bt} + \varepsilon_{agbt}.\end{aligned}$$

- a: mortgage applicant/application.
- b: lender.
- $\text{Approval}_{agbt} = 1$ if the application is approved.
- Specifications add applicant income controls, income-decile interactions, county-year fixed effects, lender fixed effects, or lender-by-year fixed effects.

Interpretation. HMDA directly observes application decisions. If the same pattern appears in HMDA, the Equifax supply-ratio results are less likely to be measurement artifacts.

3.8 Bank-headquarters mechanism

The paper decomposes political power according to whether the lender is headquartered in the newly powerful Senator's state:

$$\begin{aligned}\text{Approval}_{agbt} = {} & \beta_1 \text{Powerful}_{bt}^{\text{constituent}} + \beta_2 \left(\text{Powerful}_{bt}^{\text{constituent}} \times \text{MinorityApplicant}_a\right) \\ & + \beta_3 \text{Powerful}_{agbt}^{\text{other}} + \beta_4 \left(\text{Powerful}_{agbt}^{\text{other}} \times \text{MinorityApplicant}_a\right) \\ & + \Gamma' X_{agbt} + \alpha_g + \alpha_t + \alpha_b + \varepsilon_{agbt}.\end{aligned}$$

Interpretation. If the channel is political protection, banks headquartered in the Senator's state should respond more than unrelated banks lending into that state. This is exactly what the paper finds.

3.9 Within-bank implementation across states

The paper further splits constituent-bank lending into in-state and out-of-state applicants:

$$\begin{aligned}\text{Approval}_{agbt} = {} & \beta_1 \text{Powerful}_{agbt}^{\text{instate}} + \beta_2 \text{Powerful}_{agbt}^{\text{outstate}} \\ & + \theta_1 (\text{Powerful}_{agbt}^{\text{instate}} \times \text{MinorityApplicant}_a) + \theta_2 (\text{Powerful}_{agbt}^{\text{outstate}} \times \text{MinorityApplicant}_a) \\ & + \Gamma' X_{agbt} + \alpha_g + \alpha_t + \alpha_b + \varepsilon_{agbt}.\end{aligned}$$

Interpretation. A politically protected bank reduces lending not only in the Senator's state, but throughout the organization. This supports a headquarters-level decision channel rather than a purely local demand shock.

3.10 CRA threshold specification

The CRA test uses the discontinuity at 80% of MSA median income:

$$\text{SupplyRatio}_{igt} = \beta_1 \text{Powerful}_{st} + \beta_2 (\text{Powerful}_{st} \times \text{CRAEligible}_g) + \Gamma' X_{igt} + \alpha_t + \alpha_g + \varepsilon_{igt}.$$

Interpretation. The political-protection hypothesis predicts $\beta_2 < 0$, because the contraction should be strongest exactly where lending is regulated by the CRA. The paper also runs placebo thresholds at 60% and 100%; those placebo interactions are not significant.

3.11 Committee oversight specification

The paper separates powerful Senators who serve on committees with oversight over fair-lending enforcement agencies:

$$\begin{aligned}\text{SupplyRatio}_{igt} = {} & \beta_1 \text{Powerful}_{st}^{\text{BCJ}} + \beta_2 \text{Powerful}_{st}^{\text{Other}} + \beta_3 (\text{Powerful}_{st}^{\text{BCJ}} \times Z_g) + \beta_4 (\text{Powerful}_{st}^{\text{Other}} \times Z_g) \\ & + \Gamma' X_{igt} + \alpha_t + \alpha_g + \varepsilon_{igt}.\end{aligned}$$

- $\text{Powerful}_{st}^{\text{BCJ}}$: Senator becomes chair and serves on Banking, Commerce, or Judiciary.
- $\text{Powerful}_{st}^{\text{Other}}$: Senator becomes chair but does not serve on those committees.

- Z_g: majority-minority or CRA-eligible tract indicator.

Interpretation. Banking, Commerce, and Judiciary oversee agencies that enforce fair-lending laws, including the OCC, FDIC, Federal Reserve, FTC, and DOJ. The paper finds larger negative effects for these committees, consistent with a regulatory-enforcement channel.

3.12 Bank profitability and portfolio regressions

For bank outcomes, the paper estimates regressions of the form

$$Y_{bst} = \beta \text{Powerful}_{st} + \delta(\text{Powerful}_{st} \times \text{ConnectedBank}_b) + \Pi' W_{bst} + \alpha_b + \alpha_s + \alpha_t + u_{bst},$$

where Y_{bst} can be bank ROA or a loan-portfolio measure.

Interpretation. If banks reduce less-profitable mandated lending after gaining political protection, profitability should rise and the composition of lending should shift away from affected real-estate or consumer-credit categories.

4 Identification and instruments (what makes the estimates credible)

4.1 What would fail in a simple comparison

- States with powerful politicians may be different from other states.
- Minority neighborhoods may have different borrower risk, income, credit demand, or local economic shocks.
- Banks may reduce lending because their borrowers become riskier, not because compliance incentives change.
- Mortgage approvals may fall because of weaker housing markets, not because of politics.
- Banks may reallocate lending because other investment opportunities become better.

Interpretation. A raw before-after comparison around chair ascensions would not be enough. The paper therefore uses seniority-based chair turnover, rich fixed effects, minority/CRA interactions, bank-headquarters tests, and placebo exercises.

4.2 Seniority-based political-power shocks

- Committee chair succession is largely determined by seniority.
- Seniority is accumulated over many years and is not chosen in response to current consumer credit conditions.
- The paper filters out ascensions most likely to be driven by contemporaneous political shifts and keeps events such as the previous chair leaving office, changing committees, or having health problems.
- State-level macroeconomic variables such as income, employment, and house prices do not predict the 38 ascensions.

Interpretation. The shock is not a perfect randomized experiment, but it is plausibly unrelated to contemporaneous local credit-market trends.

4.3 Difference-in-differences identifying assumption

The main identifying assumption is parallel trends:

$$E[\Delta\varepsilon_{igt} \mid \text{Powerful}_{st} = 1] = E[\Delta\varepsilon_{igt} \mid \text{Powerful}_{st} = 0]$$

for comparable borrowers and geographies after conditioning on controls.

Interpretation. In the absence of a chair ascension, credit access in treated states would have evolved similarly to credit access in control states.

4.4 Evidence supporting parallel trends

- Event-study plots show no meaningful pre-treatment decline in credit access before ascensions.
- Placebo tests randomly assign committee chair turnovers and produce t-statistics centered around zero.
- Results are stable when excluding individual states or individual years.
- Results survive county-by-quarter fixed effects, which absorb local macroeconomic shocks.
- Results survive consumer fixed effects, which absorb time-invariant unobserved borrower quality.

Interpretation. The central patterns do not appear to be generated by preexisting trends, outlier states, or the Great Recession alone.

4.5 Why minority and CRA interactions sharpen identification

- The political-protection hypothesis is not just that all lending falls.
- It predicts targeted reductions in lending to communities protected by fair-lending rules.
- Majority-minority tracts and CRA-eligible tracts are precisely the places where fair-lending compliance is most relevant.
- The CRA threshold at 80% of MSA median income gives a sharper test: the effect should appear at the actual regulatory cutoff, not at arbitrary placebo cutoffs.

Interpretation. A generic local economic shock would not naturally generate a discontinuous decline exactly at the CRA eligibility threshold.

4.6 Why the bank-headquarters tests are important

- If the mechanism is local borrower demand, all banks lending into the affected state should reduce approvals similarly.

- If the mechanism is political protection, banks headquartered in the newly powerful Senator's state should respond more.
- The paper finds the latter: constituent banks are responsible for the credit contraction.
- The same banks reduce lending to both in-state and out-of-state applicants, consistent with a headquarters-level policy decision.

Interpretation. This is one of the strongest mechanism tests. It connects the political shock to the decision-making authority of banks rather than only to borrower location.

4.7 Threats and how the paper addresses them

- **Credit demand.** The paper checks credit inquiries and finds no evidence that political power increases demand for credit.
- **Borrower risk.** Specifications control flexibly for Equifax Risk Score bins and interactions between risk bins and treatment.
- **Local macro conditions.** County-by-quarter fixed effects absorb time-varying local shocks.
- **Labor market effects.** The paper uses CPS and PSID evidence and finds no meaningful changes in employment or income around ascensions.
- **Alternative bank investment opportunities.** Call Report tests show no broad rise in total lending or C&I lending that would indicate a simple reallocation toward newly attractive loan categories.
- **Political voting blocs.** Effects are found for both Democratic and Republican chairs, which weakens an explanation based only on partisan neglect of minority voters.
- **Regulatory channel.** Effects are largest for Banking, Commerce, and Judiciary committee members, who oversee agencies relevant to fair-lending enforcement.

4.8 Remaining limitations

- The paper generally observes expected political protection, not direct communications between Senators and regulators.
- The Equifax supply ratio is a proxy for credit supply, not a direct application approval outcome; HMDA helps address this limitation.
- The empirical design is strongest for detecting relative changes in credit access, not for measuring the full welfare effects of fair-lending enforcement.

Interpretation. The paper's evidence is strongest as a mechanism-consistent reduced-form design: political-power shocks predict targeted reductions in regulated lending and changes in bank behavior that line up with lower expected enforcement.

5 Tables and figures

5.1 Table 1: committee chair shock summary statistics

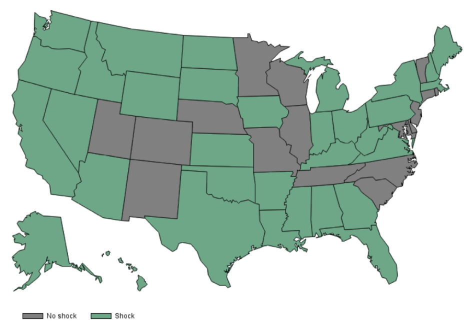
Read:

- The main sample contains 38 chair ascension shocks from 1999 to 2012.
- The biggest categories are previous chair changed committees, change in control where the ranking member did not become chair, previous chair left office, and previous chair had health problems.
- There is at least one shock in every congressional cycle in the sample.

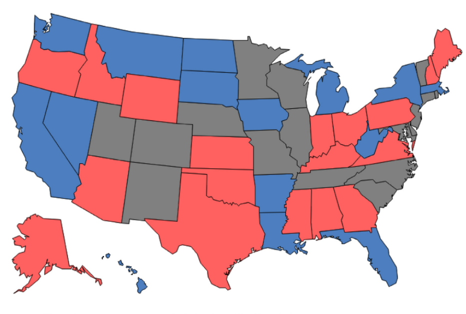
Takeaway. The treatment variation is not a single event or a single state; it is distributed across years and states.

Table 1
Committee chair shock summary statistics.
This table presents the distribution of Senate committee chair "shocks" by election cycle for our main definition of a shock. Panel A provides details about the events that led to the shocks. Panel B presents statistics on the frequency of shocks per election cycle.

Panel A — Reasons for shocks	
Reason for change in chairmanship	Number
Previous chair changed committees	14
Change in control of congress where ranking member did not become chair	11
Previous chair left office	7
Previous chair had health problems	4
Other	2
Total Shocks	38
Panel B — Number of shocks by year	
1999–2000	5
2001–2002	4
2003–2004	7
2005–2006	9
2007–2008	1
2009–2010	8
2011–2012	4
Total shocks	38



(a) Committee chair shocks.



(b) Committee chair shocks by political party.

Fig. 1. Senate committee chair shock distribution.
Panel (a) presents the state distribution of our primary shock measure. Panel (b) presents the shock distribution by political party. See text for details about the shock construction.

5.2 Figure 1: geographic distribution of committee chair shocks

Read:

- The map shows which states experience chair ascensions.
- Shocks are spread across many parts of the country and across both political parties.

Takeaway. The visual evidence supports the paper's claim that chair ascensions are not concentrated in one obvious political or geographic bloc.

5.3 Table 2: summary statistics

Read:

- In the Equifax sample, mean supply ratio is about 0.46.
- About 22% of the Equifax sample lives in majority-minority tracts.
- About 30% of the sample is in CRA-eligible tracts.
- The HMDA applicant-location sample has about 7.7 million applications.
- The HMDA bank-headquarters sample has about 3.8 million applications.
- The CRA exam sample has 28,518 observations.

Takeaway. The paper combines borrower-level, application-level, bank-level, and regulatory-exam data, which allows both outcome and mechanism tests.

Table 2
Summary statistics.
This table presents summary statistics for our main variables of interest. Panel A presents summary statistics for consumer-level variables from the FRBNY CCP/Equifax as well as mortgage application data from the Home Mortgage Disclosure Act (HMDA) filings obtained through the Federal Financial Institutions Examination Council (FFIEC). We include two HMDA samples. The first assigns Senators to the location of the property in the loan application. The second sample assigns Senators to the banks' headquarters using a concordance provided by Robert Avery at the Federal Housing Finance Agency. Panel B presents summary statistics for banks using data from the FFIEC 031/041 reports, otherwise known as the "Call Reports." Panel C presents summary statistics for Community Reinvestment Act examinations using data from the FFIEC. We also obtain data on Senate committee assignments from the website of Charles Stewart III (details in Edwards and Stewart III, 2006), which we then merge with the data sets in each panel. Details of variable construction can be found in Section 3.

Panel A — Consumer-level variables					
Sample: Consumer Equifax Risk Score < 640, consumer-qtr observations					
	Mean	Median	Std. dev.	N	Source
Supply ratio	0.46	0.200	0.751	890,271	FRBNY CCP/Equifax
Equifax Risk Score	551.9	564	64.67	890,271	FRBNY CCP/Equifax
Census tract median income	41,635	38,618	16,607	890,046	Census
Majority minority	0.221	–	–	890,271	Census
CRA eligible	0.296	–	–	723,612	Census
Powerful politician	0.125	–	–	890,271	Edwards and Stewart III (2006)
Sample: HMDA applicant-location-matched shocks, number of applications					
Approval rate	0.683	–	–	7,696,403	HMDA
Majority minority	0.127	–	–	7,696,403	Census
Applicant income	88,420	64,000	131,300	7,279,468	HMDA
Powerful politician	0.108	–	–	7,696,403	Edwards and Stewart III (2006)
Sample: HMDA bank-matched shocks, number of ppplications					
Approval rate	0.67	–	–	3,755,432	HMDA
Minority applicant	0.157	–	–	3,755,432	HMDA
Applicant income	81,490	60,000	133,600	3,509,395	HMDA
Powerful politician (constituent bank loans)	0.106	–	–	3,755,432	Edwards and Stewart III (2006)
Powerful politician (other loans in state)	0.104	–	–	3,755,432	Edwards and Stewart III (2006)
Powerful politician (w/in state applicant)	0.0311	–	–	3,755,432	Edwards and Stewart III (2006)
Powerful politician (out-of-state applicant)	0.0747	–	–	3,755,432	Edwards and Stewart III (2006)
Panel B — Bank-level variables					
	Mean	Median	Std. dev.	N (bank-qtr)	Source
Ln (assets)	12.05	11.70	1.87	453,695	Call Reports
Annualized ROA (%)	1.56	1.58	1.50	453,695	Call Reports
Real estate loans (% of total)	64.6	67.4	20.7	451,288	Call Reports
Commercial loans (% of total)	20.4	15.8	18.2	451,288	Call Reports
Consumer loans (% of total)	10.2	7.1	11.6	451,288	Call Reports
Panel C — Bank Community Reinvestment Act exam variables					
Exam score	Number	Percent			Source
Outstanding	3,348	11.7			FFIEC
Satisfactory	24,637	86.4			
Needs improvement	466	1.6			
Substantial noncompliance	67	0.2			
Regulator conducting exam					
OCC	5,103	17.9			FFIEC
FRB	3,794	13.3			
FDIC	17,272	60.6			
OTS	2,349	8.2			
Type of Exam					
Small	18,985	66.6			FFIEC
Non small	9,533	33.4			

Table 3
Powerful politicians and access to credit.
This table uses OLS regressions to test the effect of a Senator's ascension to a powerful committee chair position on consumer credit access in the Senator's state relative to other, unaffected states. The table uses data from the FRBNY CCP/Equifax, a representative panel of individual credit records from Equifax. The unit of observation in this table is a consumer-quarter. The sample period is 1999–2012. *Supply ratio* equals the number of new credit lines divided by the number of credit inquiries in the consumer's credit report in a given quarter. *Powerful pol.* equals one in the two years following a Senator's ascension for consumers in the Senator's state and equals zero otherwise. *Majority minority* equals one if the consumer lives in a Census tract that is majority nonwhite and is zero otherwise. Other variables are described in the text. The sample includes borrowers with an Equifax Risk Score less than or equal to 640. Standard errors clustered at the state level are in parentheses. ***, **, and * denote statistical significance at the 1%, 5%, and 10% levels, respectively.

Data set:	FRBNY CCP/Equifax					
Dependent variable:	Supply ratio					
	(1)	(2)	(3)	(4)	(5)	(6)
Powerful pol. × Majority minority	−0.0283**	−0.0264*	−0.0405***	−0.0229**	−0.0208*	−0.0209*
	(0.013)	(0.013)	(0.014)	(0.011)	(0.011)	(0.011)
Powerful pol.	−0.0337***	−0.0332***			−0.0417***	−0.0416***
	(0.0092)	(0.0085)			(0.0099)	(0.0099)
Majority minority					−0.00470	−0.00329
					(0.0088)	(0.0093)
Census tract median income (Z)						0.00222
						(0.0036)
Census tract FE	x	x	x	x		
Year – quarter FE	x	x			x	x
Risk Score bin FE		x		x	x	x
Risk Score bins – Powerful pol. FE			x			
County – quarter FE				x		
Consumer FE					x	x
Consumer-quarter observations	890,271	890,271	890,271	855,981	887,829	887,597
R-squared	0.24	0.25	0.25	0.33	0.32	0.32

5.4 Table 3: powerful politicians and access to credit

Read:

- The coefficient on Powerful is around −0.033 to −0.042.
- The interaction Powerful × MajorityMinority is around −0.021 to −0.041.
- With a mean supply ratio of about 0.46, the effect is economically large.
- Majority-white tracts experience roughly a 7%–9% decline relative to the sample mean.
- Majority-minority tracts experience roughly a 13% decline relative to the sample mean.

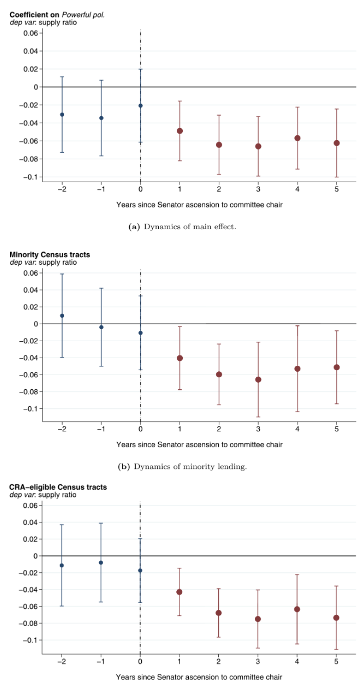
Takeaway. This is the baseline result: when a state's Senator becomes powerful, subprime credit access falls, and the fall is larger in minority neighborhoods.

5.5 Figure 2: credit access before and after ascensions

Read:

- Pre-treatment coefficients are close to zero.
- After the ascension, credit access declines.
- The post-treatment decline is stronger for majority-minority and CRA-eligible tracts.

Takeaway. The timing supports the difference-in-differences design: the decline begins after the political-power shock rather than before it.

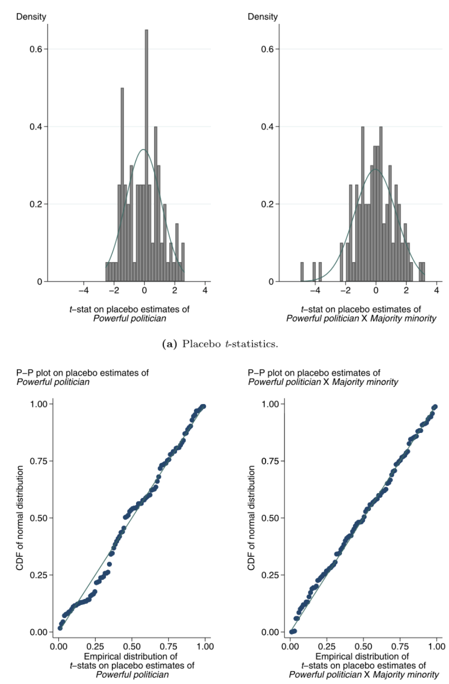


(a) Dynamics of main effect.

(b) Dynamics of minority lending.

(c) Dynamics of CRA lending.

Fig. 2. Credit access before and after ascensions to Senate committee chairs.
This figure presents distributed lag plots of coefficients β_1 and β_2 in Eq. (2). The dependent variable, *Supply ratio*, is the number of new credit lines divided by the number of hard credit inquiries on a consumer's credit report. Panel (a) presents the dynamics for the main effect, while panels (b) and (c) present the dynamics of credit access in majority-minority and CRA-eligible Census tracts, respectively. The regressions also include fixed effects for the current quarter and Census tract. The sample includes consumers with an Equifax Risk Score less than 640. The figure includes 95% confidence intervals with standard errors clustered by state.



(a) Placebo *t*-statistics.

(b) Placebo P-P plots.

Fig. 3. Placebo test of Senator power and access to credit. This figure presents placebo estimates of the effect of a Senator's ascension to a powerful committee chair on consumer credit access in the Senator's home state. The regression is described in Table 3. The dependent variable is *Supply ratio*. The placebo test randomly assigns senators to committee chairs in different years (each one of the 100 iterations contains the same total number of ascensions that occur over our sample period). The top panel presents histograms of the *t*-stats (standard errors clustered by state) on the coefficient estimates of *Powerful politician* and of *Powerful politician* $\times$ *Majority minority*. The bottom panel presents, for both placebo variables, a P-P plot, a graphical test of normality of the distribution.

5.6 Figure 3: placebo test of Senator power

Read:

- The paper randomly assigns placebo chair ascensions.
- Placebo t-statistics are centered around zero and look approximately normal.
- Few placebo estimates are significant in absolute value.

Table 4
Powerful politicians and loan approval rates.

This table uses OLS regressions to test the effect of a Senator's ascension to a powerful committee chair position on mortgage loan applicant approval rates. The data come from a 5% random sample of loan applications in HMDA. The sample is then restricted to include owner-occupied loans, home purchases or refinances, and loans that are not GSE-securitized. *Powerful pol.* equals one if the location of the property in the loan application is in a state with a Senator who become committee chair in the past two years. Standard errors clustered at the state level are in parentheses. ***, **, and * denote statistical significance at the 1%, 5%, and 10% levels, respectively.

Data set: / *Dependent variable*:	HMDA loan applications / Approval rate					
	(1)	(2)	(3)	(4)	(5)	(6)
Powerful pol. × Majority minority	−0.0172***	−0.0195***	−0.0245***	−0.00596**	−0.0205***	−0.00902***
	(0.0047)	(0.0048)	(0.0037)	(0.0024)	(0.0038)	(0.0032)
Powerful pol.	−0.0160*	−0.0168			−0.0134*	−0.00872
	(0.0092)	(0.010)			(0.0080)	(0.0053)
Applicant income (1,000s)		0.000112***		0.000111***	0.0000921***	0.000101***
		(0.000012)		(0.000012)	(0.000011)	(0.000014)
Census tract FE	x	x	x	x	x	x
Year FE	x	x	x		x	
Income decile – Powerful pol. FE			x			
County – year FE				x		
Lender FE					x	
Lender – year FE						x
Observations	7,696,403	7,279,432	7,279,432	7,277,754	7,278,546	7,262,463
R-squared	0.055	0.056	0.069	0.068	0.24	0.28

Takeaway. The baseline result is unlikely to be a mechanical artifact of the design or a general pattern in the data.

5.7 Table 4: HMDA loan approval rates

Read:

- HMDA approval rates fall in majority-minority tracts after a home-state Senator becomes powerful.
- The interaction Powerful × MajorityMinority is negative across specifications.
- Results survive applicant-income controls, income-decile interactions, county-year fixed effects, lender fixed effects, and lender-by-year fixed effects.

Takeaway. The Equifax supply-ratio result also appears in direct mortgage approval decisions.

5.8 Tables 5 and 6: bank headquarters and within-bank implementation

Table 5
Powerful politicians linked to bank headquarters' locations.

This table uses OLS regressions to test the effect of a Senator's ascension to a powerful committee chair position on mortgage loan applicant approval rates. The data come from a 5% random sample of loan applications in HMDA. The sample is then restricted to include owner-occupied loans, home purchases or refinances, and loans that are not GSE-securitized. We further refine the sample to include only loans that can be matched to HMDA respondent IDs (the lender) using the concordance file provided by Robert Avery of the Federal Housing Finance Agency. Using this information on HMDA lenders, *Powerful pol. (constituent bank loans)* equals one for a loan application submitted to a bank headquartered in a state that had a Senator become committee chair within the past two years, and zero otherwise. *Powerful pol. (other loans in state)* equals one if the loan application is submitted by a consumer in a powerful Senator's state, but the application is submitted to an out-of-state bank that is not headquartered in the Senator's state and zero otherwise. *Minority applicant* equals one if the loan application is from a nonwhite applicant and zero otherwise. Standard errors clustered at the lenders' state level are in parentheses. ***, **, and * denote statistical significance at the 1%, 5%, and 10% levels, respectively.

Data set: / *Dependent variable*:	HMDA loan applications / Approval rate			
	(1)	(2)	(3)	(4)
Powerful pol. (constituent bank loans)	−0.0372***	−0.0391***	−0.0401***	
	(0.011)	(0.012)	(0.011)	
Powerful pol. (constituent bank loans) × Minority applicant	−0.0340***	−0.0345***	−0.0310***	−0.0380***
	(0.012)	(0.012)	(0.011)	(0.013)
Powerful pol. (other loans in state)	−0.00442	−0.00473		
	(0.0031)	(0.0034)		
Powerful pol. (other loans in state) × Minority applicant	0.00178	0.00196	0.00655	0.00101
	(0.0048)	(0.0048)	(0.0041)	(0.0053)
Minority applicant	−0.00681	−0.00897	−0.0106	−0.00631
	(0.0085)	(0.0094)	(0.0094)	(0.0089)
Applicant income (1,000s)		0.0000389*	0.0000379*	
		(0.000021)	(0.000021)	
Census tract FE	x	x	x	x
Year FE	x	x		x
Lender FE	x	x	x	x
Year – county FE			x	
Inc. decile - pow pol. (constituent) FE				x
Inc. decile - pow pol. (other) FE				x
Observations	3,755,432	3,508,998	3,504,513	3,508,998
R-squared	0.32	0.32	0.33	0.33

Table 6
Powerful politicians and lending decisions throughout banking institutions.

This table uses OLS regressions to test the effect of a Senator's ascension to a powerful committee chair position on mortgage loan applicant approval rates. The data comes from a 5% random sample of loan applications in HMDA. The sample is then restricted to include owner-occupied loans, home purchases or refinances, and loans that are not GSE-securitized. We further refine the sample to include only loans that can be matched to HMDA respondent IDs (the lender) using the concordance file provided by Robert Avery of the Federal Housing Finance Agency. Using this information on HMDA lenders, *Powerful pol.* equals one if the lender's headquarters location is in a state with a Senator who become committee chair in the past two years. We further breakdown *Powerful pol.* into loans for properties in the bank's headquarters state (w/in state applicant) and for properties in other states (out-of-state appl.). Standard errors clustered at the lender's state level are in parentheses. ***, **, and * denote statistical significance at the 1%, 5%, and 10% levels, respectively.

Data set: / *Dependent variable*:	HMDA loan applications / Approval rate					
	(1)	(2)	(3)	(4)	(5)	(6)
Powerful pol. (w/in state applicant)	−0.0379**	−0.0397**	−0.0294**	−0.0309**	−0.0167*	
	(0.015)	(0.015)	(0.011)	(0.012)	(0.0097)	
... × minority applicant			−0.0339***	−0.0350***	−0.0271**	−0.0395***
			(0.011)	(0.012)	(0.011)	(0.013)
Powerful pol. (out-of-state appl.)	−0.0482***	−0.0501***	−0.0417***	−0.0437***	−0.0465***	
	(0.014)	(0.014)	(0.012)	(0.012)	(0.012)	
... × minority applicant			−0.0348***	−0.0349***	−0.0323***	−0.0385***
			(0.012)	(0.012)	(0.010)	(0.013)
Minority applicant			−0.00667	−0.00882	−0.00986	−0.00625
			(0.0087)	(0.0096)	(0.0096)	(0.0092)
Applicant income (1,000s)		0.0000390*		0.0000387*	0.0000378*	
		(0.000022)		(0.000021)	(0.000021)	
Census tract FE	x	x	x	x	x	x
Year FE	x	x	x	x		x
Lender FE	x	x	x	x	x	x
Year – county FE					x	
Inc. decile – pow pol. (w/in state) FE						x
Inc. decile – pow pol. (out state) FE						x
Observations	3,755,432	3,508,998	3,755,432	3,508,998	3,504,513	3,508,998
R-squared	0.32	0.32	0.32	0.32	0.33	0.33

Read:

- Table 5 shows that constituent banks, meaning banks headquartered in the powerful Senator's state, drive the approval-rate decline.
- The constituent-bank main effect is about −0.037 to −0.040, and the minority-applicant interaction is about −0.031 to −0.038.

- Other banks lending into the Senator's state do not show comparable reductions.
- Table 6 shows that affected banks reduce credit for both in-state and out-of-state applicants.

Takeaway. The lending contraction comes from banks with a direct political-protection link to the Senator, and the policy is implemented across the bank's organization.

5.9 Table 7: household campaign contributions and political engagement

Read:

- The credit-access decline is smaller in highly politically engaged areas.
- It is larger in the least politically engaged areas: the coefficient is about −0.058 in the bottom contribution quartile versus about −0.033 in the top quartile.

Takeaway. Banks and politicians appear more willing to reduce credit where affected households are less likely to impose political costs.

Table 7
Household campaign contributions and access to credit.
This table uses OLS regressions to test the marginal effect of campaign contributions on the relation between a Senator's ascension to a powerful committee chair and consumer credit access. The data, sample, and variables are described in Table 3. In columns (1) and (2), the sample includes ZIP codes in which aggregate personal campaign contributions to a Senator are above the median (within-state). The sample in columns (3) and (4) includes ZIP codes that are below the median. Campaign contributions data come from the Federal Elections Commission. Standard errors clustered at the state level are in parentheses. ***, **, and * denote statistical significance at the 1%, 5%, and 10% levels, respectively.

Data set:	FRBNY CCP/Equifax			
Dependent variable:	Supply ratio			
Quartile of household campaign contributions:	top	bottom	all counties	
	(1)	(2)	(3)	(4)
Powerful pol.	−0.0328**	−0.0584***		
	(0.013)	(0.0092)		
... × contributions[middle quartiles]			−0.0166*	−0.00812
			(0.0086)	(0.0079)
... × contributions[bottom quartile]			−0.0297***	−0.0244***
			(0.010)	(0.0085)
Census tract median income (Z)				0.0213***
				(0.0040)
Census tract FE	x	x	x	
Year – quarter FE	x	x		
Risk Score bin FE	x	x	x	x
County – quarter FE			x	x
Consumer-quarter observations	226,244	201,897	849,202	852,782
R-squared	0.28	0.28	0.33	0.15

Table 8
Politically connected banks and access to credit.
This table uses OLS regressions to test the marginal effect of banks' political connectedness on the relation between a Senator's ascension to a powerful committee chair and lending in the Senator's home state. The data and the sample construction are described in Table 6. We sort counties by the fraction of bank branches that have connections to Senators from the bank's headquarter state that ascend to a chair of a powerful Senate committee. We call a bank connected if it contributed to the Senator's election campaign(s) prior to the Senator's ascension. Campaign contributions data come from the Federal Election Commission. Bank branch data come from the FDIC Summary of Deposits. Standard errors clustered at the lenders' state level are in parentheses. ***, **, and * denote statistical significance at the 1%, 5%, and 10% levels, respectively.

Data set:	HMDA loan applications			
Dependent variable:	Approval rate			
Quartile of banks' campaign contributions:	top	bottom	all counties	
	(1)	(2)	(3)	(4)
Powerful pol. (w/in state applicant)	−0.0391**	−0.0390***	−0.0334***	−0.0352***
	(0.018)	(0.012)	(0.0096)	(0.011)
... × bank contributions[middle quartiles]			−0.00313	−0.00184
			(0.0064)	(0.0061)
... × bank contributions[top quartile]			−0.00945	−0.0112
			(0.010)	(0.011)
Powerful pol. (out-of-state appl.)	−0.0581***	−0.0412**	−0.0426***	−0.0452***
	(0.014)	(0.016)	(0.015)	(0.015)
... × bank contributions[middle quartiles]			−0.00303	−0.00230
			(0.0056)	(0.0055)
... × bank contributions[top quartile]			−0.0174**	−0.0169*
			(0.0087)	(0.0089)
Applicant income				0.0000386*
				(0.000021)
Census tract FE	x	x	x	x
Year FE	x	x	x	x
Lender FE	x	x	x	x
Observations	949,550	901,912	3,668,751	3,427,613
R-squared	0.29	0.33	0.32	0.32

5.10 Table 8: politically connected banks

Read:

- Counties with many politically connected bank branches experience larger lending contractions.
- For out-of-state applicants, the top quartile of bank political connectedness has a larger negative effect than the bottom quartile.
- The interaction with top-quartile bank contributions is negative and statistically significant.

Takeaway. Prior political connections amplify the effect, supporting the political-protection interpretation.

5.11 Table 9: CRA eligibility threshold

Read:

- The interaction Powerful × CRAEligible is about −0.026 and statistically significant.

- The result is similar when the sample is narrowed to tracts close to the 80% threshold.
- Placebo thresholds at 60% and 100% do not produce significant effects.

Takeaway. The effect occurs at the actual regulatory threshold, which is powerful evidence that the channel is reduced compliance with fair-lending regulation.

Table 9

Access to credit under the Community Reinvestment Act and powerful politicians.

This table uses OLS regressions to test the effect of a Senator's ascension to a powerful committee chair position on consumer credit access that is likely to be affected by the regulatory provisions in the Community Reinvestment Act (CRA). The data, the sample, and variables are described in Table 3. The CRA encourages banks to supply credit to Census tracts with median incomes less than 80% of the median income in the MSA. This table sorts the data by the ratio of Census tract median income to MSA median income. Columns (1) and (2) use data from all Census tracts. Census tracts with a ratio of tract to MSA income between 60% and 100% are in columns (3) and (4), 80% to 120% are in columns (5) and (6), and 40% to 80% are in columns (7) and (8). *CRA eligible (I < 80%)* equals one if the consumer resides in a Census tract with ratio of tract income to MSA income less than 80%. *CRA placebo (I < 100%)* and *CRA placebo (I < 60%)* are placebo thresholds for CRA eligibility that equal one if the consumer resides in a Census tract with a ratio of tract income to MSA income less than 100% and 60%, respectively. Standard errors clustered at the state level are in parentheses. ***, **, and * denote statistical significance at the 1%, 5%, and 10% levels, respectively.

Data set:	FRBNY CCP/Equifax							
Dependent variable:	Supply ratio							
Census tract median income / MSA median income:	Full sample		60%–100%		80%–120%		40%–80%	
	(1)	(2)	(3)	(4)	(5)	(6)	(7)	(8)
Powerful pol. × CRA eligible (I < 80%)	−0.0265***	−0.0263***	−0.0259*	−0.0262*				
	(0.0090)	(0.0093)	(0.014)	(0.014)				
Powerful pol. × CRA placebo (I < 100%)					0.0144	0.0143		
					(0.015)	(0.016)		
Powerful pol. × CRA placebo (I < 60%)							0.00538	0.00430
							(0.032)	(0.031)
Powerful pol.	−0.0462***	−0.0461***	−0.0495***	−0.0486***	−0.0693***	−0.0687***	−0.0741***	−0.0731***
	(0.012)	(0.011)	(0.015)	(0.014)	(0.023)	(0.023)	(0.021)	(0.021)
Census tract FE	x	x	x	x	x	x	x	x
Year – quarter FE	x	x	x	x	x	x	x	x
Consumer FE	x	x	x	x	x	x	x	x
Risk Score bin FE		x		x		x		x
Consumer-quarter observations	718,963	718,963	307,236	307,236	324,370	324,370	194,831	194,831
R-squared	0.42	0.42	0.44	0.44	0.44	0.44	0.45	0.45

Table 10

Powerful politicians and Community Reinvestment Act regulatory exams.

This table uses ordered logit regressions to test the relation between a Senator's ascension to a powerful committee chair position and subsequent CRA regulatory exam performance for banks headquartered in the politician's home state. The data on CRA exams come from the Federal Financial Institutions Examination Council. The dependent variable, *CRA exam rating* equals 4 for "outstanding," 3 for "satisfactory," 2 for "needs to improve," and 1 for "substantial noncompliance". *Powerful pol.* equals one if the location of the lending institution is in a state with a Senator who become committee chair in the past two years. We also break down *Powerful pol.* into "small bank" exams and all other types of bank exams. The exam method, small bank or otherwise, is determined by asset thresholds that change over time. Standard errors clustered at the state level are in parentheses. ***, **, and * denote statistical significance at the 1%, 5%, and 10% levels, respectively.

Data set:	FFIEC bank exams			
Ordered logit dep. var.:	CRA exam rating			
	(1)	(2)	(3)	(4)
Powerful pol.	−0.257**	−0.242**		
	(0.11)	(0.11)		
Powerful pol.[exam method: small bank]			−0.454***	−0.327***
			(0.12)	(0.11)
Powerful pol.[exam method: no small bank]			0.179	0.157
			(0.15)	(0.15)
Year FE	x	x	x	x
Exam method FE		x		
State FE				x
Observations	28,518	28,518	28,518	28,518
Pseudo *R*-squared	0.014	0.034	0.016	0.041

5.12 Table 10: CRA exam ratings

Read:

- Banks' CRA exam ratings fall after political-power shocks.
- The ordered-logit coefficient on Powerful is roughly −0.24 to −0.26.
- Small banks show especially large rating declines, with coefficients around −0.33 to −0.45.

Takeaway. Banks do not merely reclassify loans in the data; their formal CRA compliance evaluations also worsen.

5.13 Table 11 and Figure 8: Banking, Commerce, and Judiciary committees

Read:

- Effects are larger when the newly powerful Senator serves on Banking, Commerce, or Judiciary.
- These committees oversee agencies involved in fair-lending enforcement.
- Interactions with majority-minority and CRA-eligible tracts are larger for these committees than for other committees.
- Figure 8 shows that the BCJ combination is unusually strong relative to placebo sets of three committees.

Takeaway. The committee evidence links the credit contraction to regulatory enforcement power, not just generic Senator seniority.

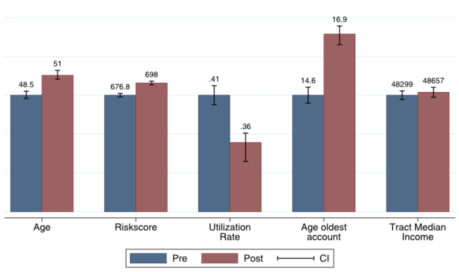
5.14 Figure 4 and Figure 7: borrower quality and delinquency

Read:

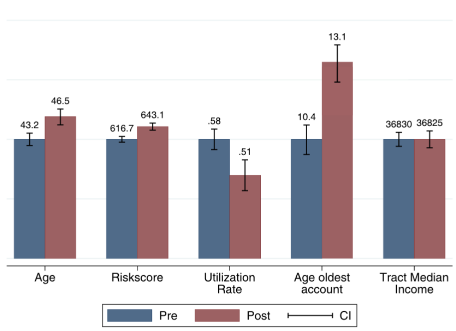
Table 11
Senate committees related to enforcement of consumer finance regulations.

This table uses OLS regressions to test the effect of a Senator's ascension to a powerful committee chair position on consumers' access to credit. The data and the sample construction are described in Table 3. This table decomposes *Powerful pol.* into two variables. The first variable includes committee chair ascensions in which the Senator serves on at least one of the Banking, Commerce, or Judiciary committees (Bank-Com-Jud). The second version of *Powerful pol.* includes ascensions where the Senator serves on none of these three committees. Standard errors clustered at the state level are in parentheses. ***, **, and * denote statistical significance at the 1%, 5%, and 10% levels, respectively.

Data set:	CCP/Equifax					
Dependent variable:	Supply ratio					
	(1)	(2)	(3)	(4)	(5)	(6)
Powerful pol.[Bank-Com-Jud]	−0.0397***			−0.0471***		
	(0.014)			(0.014)		
... × Majority minority	−0.0317**	−0.0199	−0.0307**			
	(0.013)	(0.014)	(0.014)			
... × CRA eligible				−0.0270***	−0.0266***	−0.0260***
				(0.0076)	(0.0079)	(0.0081)
Powerful pol.[Other coms]	−0.0270**			−0.0254*		
	(0.011)			(0.014)		
... × Majority minority	−0.0116	−0.00695	−0.0115			
	(0.019)	(0.019)	(0.017)			
... × CRA eligible				−0.0106	−0.0134	−0.00955
				(0.016)	(0.018)	(0.015)
Census tract FE	x	x	x	x	x	x
Year – quarter FE	x		x	x		x
Risk Score bin FE	x	x		x	x	
State – quarter FE		x			x	
Risk. bin – Pow. pol.[Bank-Com-Jud] FE			x			x
Risk. bin – Pow. pol.[Other coms] FE			x			x
Consumer-quarter observations	890,271	890,271	890,270	723,612	723,610	723,611
R-squared	0.25	0.26	0.25	0.24	0.25	0.24

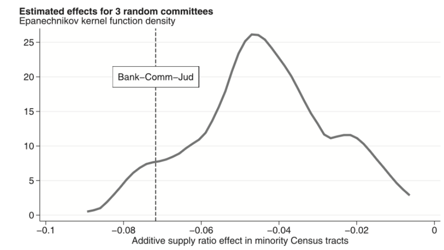


(a) New loan recipients in majority-white Census tracts.

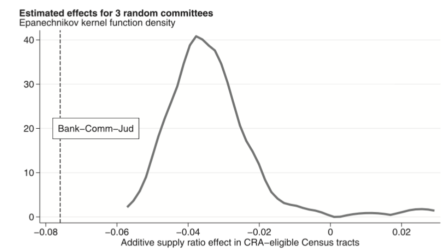


(b) New loan recipients in majority-minority Census tracts

Fig. 4. Borrower characteristics for new credit lines.
This figure presents the characteristics of borrowers who receive at least one new credit line in the two years before (after) the ascension of a home-state Senator to a powerful committee chair. **Panel (a)** shows borrowers in majority white-Census tracts, and **Panel (b)** shows borrowers in majority-minority Census tracts..



(a) Majority-minority Census tracts.



(b) CRA-eligible Census tracts.

Fig. 8. Banking-Commerce-Judiciary committees versus other committees.
This figure presents the distribution of point estimates from regressions that includ8e 100 random sets of three committees (excluding Banking, Commerce, and Judiciary). Specifically, we estimate the *Supply ratio* effects for Senators who ascend to any committee chair and serve on one of three random committees. The figure uses the 100 placebo regressions to estimate the distribution of the additive effect of "*Powerful pol. + Powerful pol.* × *Majority minority*" or "*Powerful pol. + Powerful pol.* × *CRA Eligible*," panels **(a)** and **(b)**, respectively. We compare the distribution to the estimated effects of the combination of ascending Senators who serve on the Banking, Commerce, and Judiciary committees.

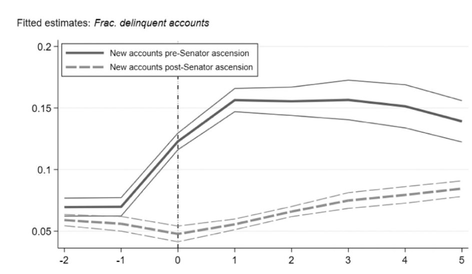
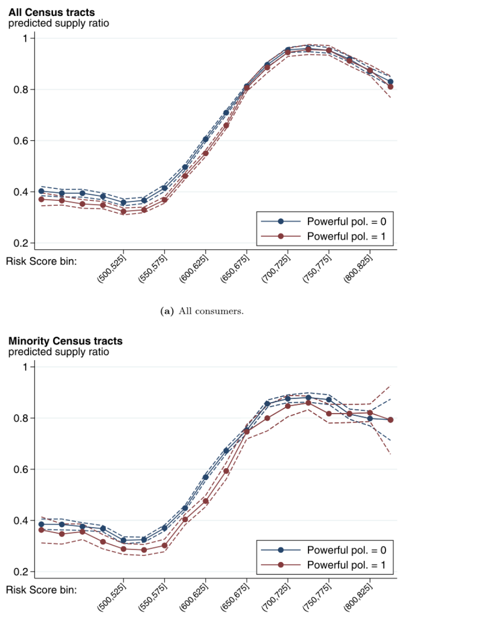


Fig. 7. New account delinquencies.
This figure shows the fraction of credit accounts that are delinquent for borrowers who receive at least one new line of credit in the two years before (after) the ascension of a home-state Senator to a powerful committee chair. The figure presents fitted estimates (and 95% prediction intervals calculated using standard errors clustered by state) of an OLS panel regression that includes fixed effects for the consumer's Census tracts. The dependent variable *Frac. delinquent accounts* equals the number of accounts at least 90 days past due over the total number of credit lines on the consumer's credit report.

- New credit recipients after the political shock are older, have higher risk scores, and have lower credit utilization.
- The risk-score increase is roughly 20 points.
- Credit utilization is about 5 percentage points lower.
- Subsequent delinquency rates are lower for borrowers who receive new credit after the shock.

Takeaway. Banks appear to tighten screening standards and shift lending toward safer borrowers.

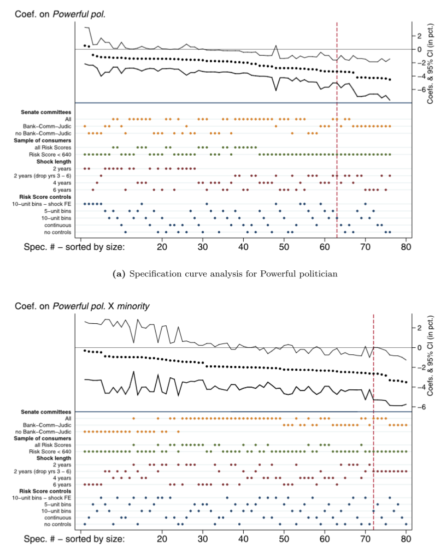
5.15 Figure 5 and Figure 6: risk-score focus and specification curve



(a) All consumers.

(b) Consumers in majority-minority Census tracts.

Fig. 5. Supply ratio over the distribution of consumers' Risk Score.
This figure presents predicted levels of *Supply ratio* and 95% prediction intervals for consumers over the distribution of consumers' Risk Score. The predictions come from panel regressions with bins for each 25 Risk Score unit. The panel regressions include fixed effects for quarter and Census tract. The regressions also jointly estimate the effects for consumers who reside in states that have Senate committee chairs in the past two years (red line) and those who reside in other states (blue line). **Panel (a)** presents predictions for borrowers in all Census tracts. **Panel (b)** includes only majority-minority Census tracts. (For interpretation of the references to color in this figure legend, the reader is referred to the web version of this article.)



(a) Specification curve analysis for Powerful politician

(b) Specification curve analysis for Powerful politician×Majority minority

Fig. 6. Specification curve analysis.
This figure uses "specification curve" analysis (Simonsohn et al., 2015) to summarize the robustness of our results to a variety of empirical choices that we have made. Our baseline estimates (reported in Table 3) include specification choices along the following dimensions: (i) the duration of political power shocks (two years versus longer); (ii) the sample of consumers to include (subprime only versus all borrowers); (iii) how to control for consumer characteristics; and (iv) which Senate ascension events to include. The figure shows that the choice of Senate ascension events has a large effect on the results – the reduction in credit access is largest when Senators serve on committees that oversee the agencies that enforce consumer lending regulations (Section 5.2.1 describes these results in detail). To read the figures, the top panel presents coefficient estimates (and 95% confidence bands) ordered in magnitude from smallest to largest. The dots in the lower panel combine to indicate the specification choice. The vertical dotted lines indicate the coefficient estimate in the paper. All of the specifications have Census tract and time fixed effects. Standard errors are clustered by state.

Read:

- Figure 5 shows that the political-power gap in supply ratio opens mainly below Risk Scores around 650.
- This supports the focus on subprime borrowers.
- Figure 6 shows that the main estimates are robust across many plausible specification choices.

Takeaway. The result is not driven by one narrow specification, and it appears where lender discretion is greatest.

5.16 Table 12: bank profitability

Read:

- Bank ROA rises after a political-power shock.
- The increase is about five to six basis points in many specifications.
- The profitability increase is larger for politically connected banks.

Takeaway. Reduced fair-lending compliance appears financially valuable for banks, consistent with the view that protected lending is costly or less profitable.

Table 12
Bank profitability and powerful politicians.
This table shows the effect of a Senator's ascension shock on bank return on assets using OLS regressions. The unit of observation is a bank-state-quarter, where a bank appears in the data set once per quarter in each state where the bank operates a branch. For example, a bank operating in three states would appear three times in each quarter. *Powerful pol.* is a binary variable defined at the state-quarter level that takes the value of one in the two years following an ascension shock and zero otherwise. Details of the variable construction are provided in the text. *Connected banks* is a binary variable that takes the value of one if the bank made political contributions in a given time period and zero otherwise. Quarterly ROA values are annualized and are then multiplied by 100 to yield ROA values in percentage points. Columns (1)–(3) present the analysis on the full sample of banks while columns (4)–(6) present the analysis for banks that operate in a single state only. Control variables (all lagged one quarter) include ln(Assets), ln(Agricultural loans), ln(C&I loans), ln(Consumer loans), ln(Real Estate Loans), the equity-to-assets ratio, and the fractions of total loans and total deposits to total assets. Bank lending data come from the Call Reports, campaign contributions data come from the Federal Election Commission, and bank location data come from the FDIC Summary of Deposits. Standard errors are clustered at the state level are presented in parentheses. ***, **, and * denote statistical significance at the 1%, 5%, and 10% levels respectively.

Dependent variable:	Bank ROA (annualized, in percentage points)					
Sample:	All banks			Single-state banks		
	(1)	(2)	(3)	(4)	(5)	(6)
Powerful pol.	0.0999***	0.0590**	0.0543**	0.111***	0.0604**	0.0588**
	(0.0304)	(0.0248)	(0.0243)	(0.0307)	(0.0242)	(0.0246)
Powerful pol. × Connected			0.0950**			0.183*
			(0.0446)			(0.0952)
Controls		x	x		x	x
Year-quarter FE	x	x	x	x	x	x
State FE	x	x	x	x	x	x
Bank FE	x	x	x	x	x	x
Bank-state-quarter observations	453,695	306,187	306,187	400,451	268,444	268,444
R-squared	0.534	0.482	0.482	0.542	0.499	0.499

Table 13
Powerful politicians and aggregate lending portfolios.
This table shows the effect of a Senator's ascension shock on lending using OLS regressions. The unit of observation is a bank-state-quarter, as in Table 12. *Powerful pol.* is a binary variable defined at the state-quarter level that takes the value of one in the two years following an ascension shock and zero otherwise. Panel A presents analysis for the full sample of banks, while Panel B presents analysis for banks that operate in a single state only. Control variables (all lagged by one quarter) include ln(Assets), the equity-to-assets ratio, and the ratios of total loans and total deposits to total assets. Standard errors clustered at the state level are presented in parentheses. ***, **, and * denote statistical significance at the 1%, 5%, and 10% levels respectively.

Panel A							
Data set:	Call Reports						
Sample:	All banks						
Dependent variable:	Ln Total loans	Ln secured real estate	Ln commercial and industrial	Ln consumer	Real estate / total loans	Commercial / total loans	Consumer / total loans
Powerful pol.	0.000397	−0.0168*	0.0111	−0.0108	−0.00653*	−0.00429	0.00451
	(0.00290)	(0.00916)	(0.0198)	(0.0159)	(0.00386)	(0.00405)	(0.00315)
Controls	x	x	x	x	x	x	x
Year-quarter FE	x	x	x	x	x	x	x
State FE	x	x	x	x	x	x	x
Bank FE	x	x	x	x	x	x	x
Bank-state-quarter observations	439,826	436,868	429,569	435,717	439,826	439,826	439,826
R-squared	0.995	0.989	0.960	0.955	0.893	0.766	0.865
Panel B							
Data set:	Call Reports						
Sample:	Single-state banks						
Dependent variable:	Ln total loans	Ln secured real estate	Ln commercial and industrial	Ln consumer	Real estate / total loans	Commercial / total loans	Consumer / total loans
Powerful pol.	−0.000607	−0.0202*	0.0133	−0.0178	−0.00723*	−0.00270	0.00408
	(0.00343)	(0.0103)	(0.0224)	(0.0177)	(0.00421)	(0.00443)	(0.00327)
Controls	x	x	x	x	x	x	x
Year-quarter FE	x	x	x	x	x	x	x
State FE	x	x	x	x	x	x	x
Bank FE	x	x	x	x	x	x	x
Bank-state-quarter observations	388,491	385,822	379,013	385,147	388,491	388,491	388,491
R-squared	0.990	0.981	0.924	0.919	0.894	0.768	0.877

5.17 Table 13: aggregate lending portfolios

Read:

- Total lending does not meaningfully change.
- Real estate lending falls modestly, about 1.7% to 2.0%.
- There is no consistent evidence of a broad expansion in commercial or consumer lending categories.

Takeaway. The results are more consistent with banks reducing protected real-estate credit and reallocating lending than with a general local credit-demand collapse.

6 Short summary

- **Method.** Use Senate committee chair ascensions as political-power shocks and estimate difference-in-differences effects on credit access.
- **Main data.** FRBNY CCP/Equifax consumer credit records, HMDA mortgage applications, FEC political contributions, FDIC branch data, Call Reports, and CRA exam records.
- **Key outcome.** Supply ratio: new credit lines divided by hard credit inquiries.
- **Identification.** Seniority-based committee chair rotations generate plausibly exogenous variation in expected political protection. Rich fixed effects, event studies, placebo shocks, and bank-headquarters tests support the design.
- **Main result.** Credit access falls when a state gains a newly powerful Senator, and the fall is concentrated among minority and CRA-protected communities.

- **Mechanism.** Banks headquartered in the Senator's state, especially politically connected banks, reduce lending to protected borrowers. CRA exam ratings worsen and bank profitability rises.
- **Interpretation.** Banks behave as if political protection weakens expected regulatory enforcement, making them less willing to comply with fair-lending obligations.

7 Conclusion

7.1 Core conclusion

- The paper shows that political power can reduce consumer credit access by weakening expected regulatory enforcement.
- Senate committee chair ascensions lead to lower credit access in the chair's home state.
- The decline is especially strong in minority and CRA-eligible neighborhoods.
- The mechanism runs through banks headquartered in the newly powerful Senator's state and is amplified by political connections and relevant committee oversight.

7.2 Economic intuition

- Fair-lending laws force or encourage banks to lend to disadvantaged communities.
- Such lending can be less profitable or require more compliance effort.
- When banks expect a powerful Senator to protect them from regulatory punishment, the expected cost of noncompliance falls.
- Banks then tighten access to protected borrowers, shift toward safer borrowers, and become modestly more profitable.

7.3 Takeaway

This paper is important because it broadens the view of political influence in finance. Politics does not only allocate subsidies, pass laws, or change formal regulation. It can also change **expected enforcement**. In this setting, expected political protection reduces banks' incentives to comply with fair-lending rules, lowering credit access for disadvantaged households.